

The base leads to a sharp advance that forms the first of three peaks. The peaks are often flat-looking, but on a bar chart that's seldom the case. After the three peaks appear, a “separating decline” takes price much lower. It carves the three peaks from the rest of the pattern. The separating decline is important to the pattern, and it'll help you find similar three peaks and domed house patterns.

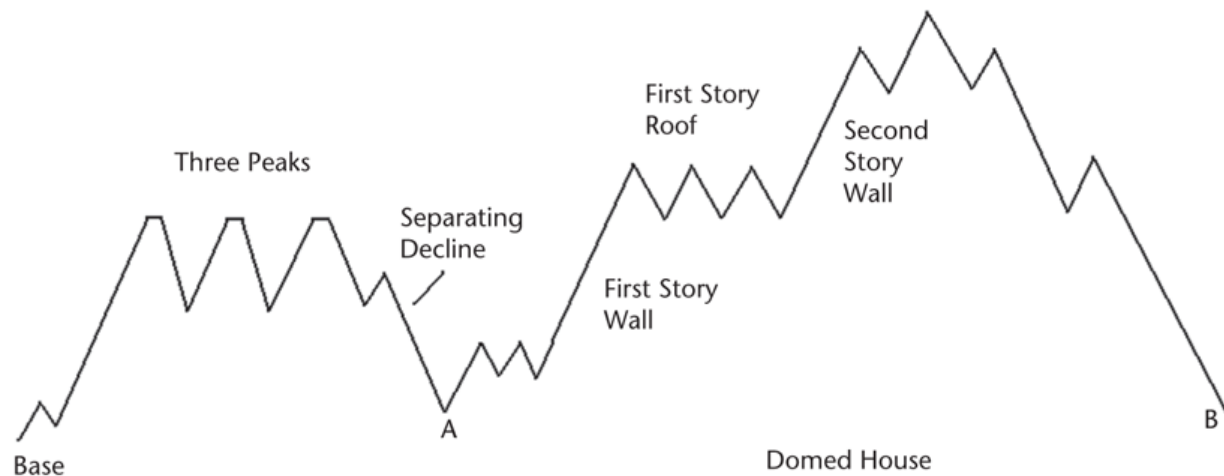


Figure 62.1 This is the three peaks and domed house model.

Price at the bottom of the separating decline consolidates and forms the foundation for the next pattern, the domed house. The house begins with a sharp but short rise that builds the first-story wall of the building. Following that, a choppy move becomes the roof of the first story.

Price rises to the second story, forming the second-story wall. The wall leads to the dome, which may look like a head-and-shoulders top but is often an irregular shape.

After the dome, price constructs the right wall of the second story, and on down to the wall of the first story. Lindsay makes a startling claim: “There has never been an exception to the rule that the entire gain in a Domed House has eventually been canceled.” In other words, point B will always drop to the price of point A (except when it doesn't).

If you imagine three peaks (not necessarily at the same price) followed by a domed house and a huge selloff, then that will go a long way to making this pattern familiar to you. In the historical record, I looked for the pattern backward. I found a big decline and then the domed house. The two-story house should stand alone and be tall. Then I looked to the left for the three